

IN THE HIGH COURT OF DELHI AT NEW DELHI

444-456

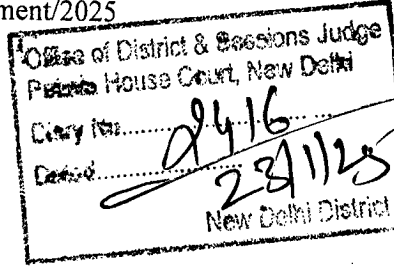
No. _____/DHC/Gaz.IB/G-2/SC-Judgment/2025

Dated: 22/01/2025

From :

The Registrar General,
High Court of Delhi,
New Delhi.

To



Handwritten notes and signatures: "24.01/25", "PD & ST", "24.01/25", and a signature.

1. The Principal District & Sessions Judge (HQ), Tis Hazari Courts Complex, Delhi.
2. The Principal District & Sessions Judge (New Delhi), Patiala House Courts Complex, New Delhi.
3. The Principal District & Sessions Judge (South-West), Dwarka Courts Complex, New Delhi.
4. The Principal District & Sessions Judge (West), Tis Hazari Courts Complex, Delhi.
5. The Principal District & Sessions Judge (East), Karkardooma Courts Complex, Delhi.
6. The Principal District & Sessions Judge (South), Saket Courts Complex, New Delhi.
7. The Principal District & Sessions Judge (Shahdara), Karkardooma Courts Complex, Delhi.
8. The Principal District & Sessions Judge (North-West), Rohini Courts Complex, Delhi.
9. The Principal District & Sessions Judge-cum-Special Judge (PC Act) (CBI), RACC, New Delhi.
10. The Principal District & Sessions Judge (South-East), Saket Courts complex, Delhi.
11. The Principal District & Sessions Judge (North), Rohini Courts Complex, Delhi.
12. The Principal District & Sessions Judge (North-East), Karkardooma Courts Complex, Delhi.
13. The Principal Judge (HQ) (Officiating), Family Courts, Dwarka, New Delhi.

Sub : Order dated 20.12.2024 passed by Hon'ble Supreme Court of India in Petition for Special Leave to Appeal (Crl.) No. 7009/2024 (Arising out of impugned final judgment and order dated 29.05.2023 in B.A No. 1762/2022 passed by the High Court of Delhi) titled "Directorate of Enforcement vs. Vijay Agrawal"

Sir/Madam,

I am directed to forward herewith a copy of order dated 20.12.2024 passed by Hon'ble Supreme Court of India in Petition for Special Leave to Appeal (Crl.) No. 7009/2024 (Arising out of impugned final judgment and order dated 29.05.2023 in B.A No. 1762/2022 passed by the High Court of Delhi) titled "Directorate of Enforcement vs. Vijay Agrawal", along with impugned Judgment dated 29.05.2023 passed by this court and to request you to circulate the same amongst all the Judicial Officers working under your respective control for information and necessary action, if any.

Yours faithfully,

(Vinay Sharma)
Deputy Registrar (Gazette-IB)
For Registrar General.

Encl: As above.

ITEM NO.38

COURT NO.12

SECTION II-C

S U P R E M E C O U R T O F I N D I A
R E C O R D O F P R O C E E D I N G S

Petition(s) for Special Leave to Appeal (Crl.) No(s). 7009/2024

[Arising out of impugned final judgment and order dated 29-05-2023 in BA No. 1762/2022 passed by the High Court of Delhi at New Delhi]

DIRECTORATE OF ENFORCEMENT

Petitioner(s)

VERSUS

25000124

VIJAY AGRAWAL

Respondent(s)

(IA No. 101024/2024 - EXEMPTION FROM FILING C/C OF THE IMPUGNED JUDGMENT)

Date : 20-12-2024 These matters were called on for hearing today.

CORAM :

HON'BLE MS. JUSTICE BELA M. TRIVEDI
HON'BLE MR. JUSTICE SATISH CHANDRA SHARMA

For Petitioner(s) Mr. Annam Venkatesh, Adv.
Mr. Zoheb Hossain, Adv. (through VC)
Mr. Arvind Kumar Sharma, AOR

For Respondent(s) Mr. Nitin Saluja, AOR

Certified to be true copy
Assistant Registrar (Judl.)

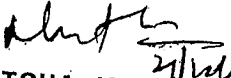
24/12/2024
Supreme Court of India

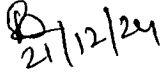
UPON hearing the counsel the Court made the following
O R D E R

1. Heard learned counsel for the petitioner- Enforcement Directorate.
2. Having regard to the facts that the impugned order was passed by the High Court on 29.05.2023, we are not inclined to entertain the present petition any further. The special leave petition is accordingly, dismissed. However, we clarify that we have not expressed any opinion on the merits of the case.

3. We further clarify that the observations made in the impugned order, shall not be cited as a precedent in any other case similarly situated as the present one.

4. Pending application(s), if any, shall stand closed.


(NISHA KHULBEY)
SENIOR PERSONAL ASSISTANT


(MAMTA RAWAT)
COURT MASTER (NSH)

 23/11

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION
(Under Article 136 of the Constitution of India)
SPECIAL LEAVE PETITION (CRL) No: 7007 OF 2024
WITH PRAYER FOR INTERIM RELIEF

IN THE MATTER OF:

BETWEEN:	POSITION OF PARTIES	
	Before the Hon'ble High Court	Before this Hon'ble Court
Directorate of Enforcement Room No. 309, C Block, Pravartan Bhawan, 11 A.P.J. Abdul Kalam Road, New Delhi - 110011 The Assistant Director	Respondent	Petitioner
//VERSUS//		
Vijay Aggarwal R/O 13 Munishpuri, Buket Nagar, Indore, Madhya Pradesh	Petitioner	Respondent

TO
THE HON'BLE CHIEF JUSTICE OF INDIA
AND HIS COMPANION JUSTICES OF THE
SUPREME COURT OF INDIA.



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* IN THE HIGH COURT OF DELHI AT NEW DELHI

RESERVED ON - 11th May, 2023

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PRONOUNCED ON - 29th May, 2023

+ BAIL APPLN. 1762/2022, CRL.M.(BAIL) 182/2023, CRL.M.A. 11556/2022 & CRL.M.A. 10022/2023

VIJAY AGRAWAL THROUGH PAROKAR Petitioner

Through: Mr.Sidharth Aggarwal, Sr.Adv. with
Mr.Arjun Dewan, Mr.Shahryar Khan
and Ms.Arshiya Ghosh, Advocates

versus

DIRECTORATE OF ENFORCEMENT Respondent

Through: Mr.Zoheb Hossain, Spl. Counsel for
ED with Mr.Vivek Gurnani and
Mr.Baibav, Advocates

CORAM:

HON'BLE MR. JUSTICE DINESH KUMAR SHARMA

J U D G M E N T

DINESH KUMAR SHARMA, J:

1. Briefly stated, the case of the directorate of enforcement is that Naresh Jain along with his brother Bimal Jain and other accomplices hatched a criminal conspiracy to cause loss to the exchequer and banks by indulging in illegal foreign exchange transactions on the basis of



forged/ fabricated documents. It was alleged that for the furtherance of conspiracy, documents like identity proof, birth and education certificate, voter ID, PAN Card and signatures were Forged/fabricated to incorporate entities, operating bank accounts, facilitating bogus/over-invoiced/ under-invoiced import and export transactions and rotation of the funds through web of shell companies to cause undue benefit to the parties involved and loss to the exchequer and banks. It has been alleged the Naresh Jain also facilitated parking of funds abroad by Indian nationals through his international Hawala transaction structure created in India and in various other jurisdictions. Investigation revealed that Naresh Jain incorporated and operated 450 Indian entities and 104 foreign entities. These entities were incorporated by using original identity proofs and documents of dummy shareholders and directors as well as by fabricating identity proofs and documents of these shareholders and directors. During the search 14 digital keys for operation of foreign bank accounts and other incriminating documents and data were seized from the secret office of Naresh Jain at 361, Vardhman Grand Plaza, Sector-3, Rohini, Delhi. It has been alleged that Naresh Jain and his accomplices were operating around 337 accounts in foreign banks in Dubai, Hongkong and Singapore in respect of 104 shell firms/ companies. The ED has alleged that during the investigation conducted so far, out of 450 shell companies, 603 bank accounts of 311 companies have been examined and it has been gathered that Naresh Jain and his accomplices (including the present petitioner) rotated funds approximately to the tune of Rs. 96,000 Crores for providing accommodation entries of



approximately Rs. 18,679 Crores to 973 beneficiaries. It is pertinent to mention here that the ED has stated that the bail applications of Naresh Jain and Bimal Jain were dismissed by this court and SLP filed by Bimal Kumar Jain before Hon'ble Supreme court has also been dismissed.

2. During the course of further investigation, the role of the present petitioner has been found as under:

1. Shri Vijay Agarwal, the present Applicant, an Indore based real estate developer had also been actively involved in the entire scheme of Money Laundering, being involved in different processes of the same at different stages.
2. Shri Vijay Agarwal in lieu of development of land parcels held by M/s Graphic Buildcon into a residential project by the name of Empire Wildflower, by acquiring shares of Graphic Buildcon worth around Rs. 18 Crores from Naresh Jain/ Bimal Jain at throwaway prices and by availing loans and advances from unknown entities had actively participated in the scheme of Money Laundering including the placement, layering and integration of the proceeds of crime into the financial system.
3. Sh. Vijay Agarwal, a real estate developer based at Indore had been instrumental in the placement, concealment, use and layering of the POC generated by Shri Naresh Jain and his associates. The alleged role played by Shri Vijay Agarwal in the entire scheme of laundering of money by Sh. Naresh Jain is as follows:-

(i.) MOU entered into by Shri Vijay Agarwal with Bimal Jain and allotment of 50% shares of Graphic Buildcon (belonging



to Naresh Jain) to Shri. Vijay Agarwal at throwaway prices without any agreement and also without any valuation of shares:- The acquisition of shares of Graphic Buildcon by Naresh Jain / Bimal Jain was followed by Shri Vijay Agarwal entering into an MOU in 2012 for the development of lands held by Graphic and Arrow with Bimal Jain / Naresh Jain and in furtherance of the said understanding, Shri Vijay Agarwal was allotted 50% shares of Graphic for a mere payment of Rs. 5 Lakhs. The share allotment had been carried out without any valuation of shares and without entering into any agreement between the parties. As the 100% shareholding of Graphic had been acquired at a price of Rs. 36 Crores, the value of 50% of the shares was around Rs. 18 Crores and therefore the shares had been acquired by Shri Agarwal at a Windfall gain of Rs. 17.95 Crores. Further since the shares of Graphic had been acquired by Jayna Infra / Naresh Jain out of Proceeds of Crime, the windfall gain of Rs. 17.95 Crores by Sh. Vijay Agarwal was nothing but an indirect transfer / acquisition of Proceeds of Crime.

(ii.) Receipt of Substantial funds in the form of loans/ advances from companies/entities managed & controlled by Sh. Naresh Jain-

1. Sh. Vijay Agarwal had received huge sums of money amounting to around Rs. 41,35,71,231/- out of which around Rs. 19,71,26,301/- was outstanding from companies / entities whose promoters / directors were not even known to Sh. Agarwal. The



said amount of Rs. 19,71,26,530/- remained outstanding as on the date of filing of the Supplementary Prosecution Complaint on 12.05.2022. The said loans had been advanced by the companies to Sh. Agarwal without entering into any kind of a loan agreement.

2. Further among the many advances of money, an amount of Rs. 5,90,45,503 had been received by Shri Agarwal as advance against a purported sale of land by his company M/s. Malwa Real Estate Developing Company to M/s. Swaraj Overseas, an entity controlled by Naresh Jain. The sale deed for the said sale was never intended to be executed and was meant to be cancelled at later date. Similar instances have also been noted in the past as well.
3. A further loan / advance had been received by his entity M/s. AVM housing from Moksha Enterprises, another Naresh Jain company and as per Agarwal the same had been arranged by Vikas Singh (a representative of Naresh Jain) and he did not know anyone in the firm advancing the loan.
4. Sh. Agarwal had also received a loan in his entity M/s. RC Warehousing from M/s. Inventors Impex Trade Pvt. Ltd., M/s. Raga Trexim Pvt. Ltd. and M/s. Newlook Commosales Pvt. Ltd., again without any agreement and none of the directors / promoters of the said entities were known to Shri Agarwal.
5. Sh. Agarwal had also in his statements admitted that the funds so received had been used to repay the outstanding loans of his companies.



6. In addition to the above, a list of entities forwarded to Shri Agarwal by Vikas Singh on whatsapp had been recovered during investigation which is a list of shell entities all controlled and managed by Naresh Jain & his associates and the said entities had been used for providing proceeds of Crime generated / laundered by Naresh Jain to Vijay Agarwal.
7. Most of the above entities forwarding the proceeds of crime to Shri. Agarwal were shell entities. The said fact is borne out of improper addresses submitted by Swaraj Overseas and Moksha Enterprises both of which had advanced amounts of Rs 4.62 Crores and Rs. 5.90 crores respectively to RC Warehousing, which were virtually non-existent, mentioned by these companies statutory forms / returns and the audit reports.
8. Sh. Ajay Sharma, the auditor of Swaraj Overseas & Moksha Enterprises for F.Y. 2020-21 in his statement dated 28.04.2022 had stated that he had never met any person, Director or promoter from Swaraj overseas but had only been contacted through whatsapp or email by one Mr. Alok. The payments for the Audit and IT filing were all paid in cash through peon etc. Sh. Ajay Sharma had carried out Tax Audit and IT of 12 firms of Naresh Jain including the above mentioned firms.
9. Sh. Vaibhav Saxena, auditor of Swaraj Overseas for the F.Y. 2017-18 2018-19 & 2019-20 also stated on similar lines as Sh. Ajay Sharma. In his statement dated 29.04.2022, Sh. Saxena stated that he had been come in contact with one Harish Agarwal in Dec /Jan 17-18 in the Income Tax dept office. Thereafter he



was contacted by Harish Agarwal only through whatsapp or mail, documents handed over through peon etc. and that he never met any director / promoter of any of the companies.

10. It is therefore the clear that shell entities managed and controlled by Naresh Jain had been used to transfer / route proceeds of crime to entities of Vijay Agarwal in the form of loans. Since Sh. Agarwal had received loans / advances without knowing any of the partners/ directors / promoters of the said companies and without executing any agreement, it is clear that he has been an active participant in the entire scheme of Laundering of proceeds of crime.

3. Mr. Zoheb Hossain has further submitted that the conduct of the petitioner has also not remained clean during the investigation and he deliberately suppressed certain facts including opening of new bank account.
4. It was found that there has been deliberate suppression of newly opened bank accounts by the accused. The process of Money Laundering and the routing of Money had been infact continuing even during the course of investigation. After the arrest of Naresh Jain, Graphic Buildcon had opened new bank accounts, in which the sale proceeds from the sale of plots in Empire Wildfire project was being deposited.
5. Mr. Zoheb Hossain submits that Sh. Agarwal, during the course of interrogation, on being asked to provide bank account details of the companies where he was a director, had deliberately omitted to provide



the details of three Bank accounts, namely Bank account no. 531201010035732 and 531201010035718 held with Union Bank of India and account number 0699002100039863 held with the Punjab National Bank.

6. The Ld. Counsel for ED states that the account opening forms of the said accounts had established that Sh. Vijay Agarwal was one of the authorized signatories and therefore had deliberately suppressed the said information from the Directorate. The total credit lying in Union Bank account no. 531201010035732 was around 9.39 crores, having been received from the sale of plots of Project Wildfire, Indore. Furthermore, it is submitted that the proceeds of crime in the aforesaid bank accounts had been diverted immediately after receipt of sale proceeds. The above conduct thus shows concealment on the part of the petitioner accused and that he is likely to commit the offence if released on bail.
7. Mr. Zoheb Hossain has placed reliance upon ***Vijay Madanlal Choudhary & Ors. vs. Union of India & Ors.*** 2022 SCC OnLine SCC 929 and submitted that the role played by the petitioner in the offence of money laundering, makes out a prima facie case and hence he does not meet the twin conditions as imposed under Section 45 of the PMLA. Mr. Zoheb Hossain has further placed reliance upon ***Tahir Hussain vs. Directorate of Enforcement*** 2022/DHC/005093 and submitted that the "proceeds of crime" include property not only derived or obtained from the scheduled offence but also any property



which may directly or indirectly be derived or obtained as a result of any criminal activity related to the scheduled offence. Learned counsel submits such property also falls within the ambit of proceeds of crime and comes within the purview of Section 3 of the PMLA, 2002. Learned counsel also submitted that in order to admit the accused on bail in PMLA Act, it is necessary to meet the twin conditions as prescribed under Section 45 i.e. (i) that there are reasonable grounds for believing that he is not guilty of the offence of money laundering, and (ii) is unlikely to commit any offence while on bail. Mr. Zoheb Hossain has further submitted that the mandatory rigour of the twin condition has to be satisfied before grant of bail. It has been submitted that the investigation in the instant case has revealed the role of the petitioner in the commission of the offence of money laundering and on the basis of the evidence and material in possession with the department against the said petitioner, it can be safely concluded that petitioner is involved in the offence of money laundering. Mr. Zoheb Hossain has further submitted that at this stage Court is not required to render a finding of guilt, nor is it required to conduct a mini trial or meticulously examine the evidence. The court is only required to examine whether the petitioner has made out reasonable grounds for believing that he is not guilty. Reliance has been placed upon *Union of India vs. Rattan Malik* (2009) 2 SCC 624. Mr. Zoheb Hossain has further submitted that in view of the vast material against the petitioner, such a satisfaction cannot be recorded in the facts of this case.



8. Petitioner has sought the bail on the ground that the case of the department has no substance. It has been submitted that the petitioner is neither named as an accused in the FIR in the predicate offence nor was ever summoned during investigation nor charge-sheeted in the predicate offence. Learned Counsel for the Petitioner has stated that the petitioner was not even named in the ECIR bearing no.ECIR/05/HIU/2018. It has been submitted that the petitioner was falsely arrested on 14.03.2022 and after five days of police custody was sent to judicial custody. It has been submitted that after being sent to judicial custody, the petitioner has not been asked even once by investigating agency to join the investigation nor the investigating agency has questioned or interrogated the petitioner ever since. It has further been submitted that prior to his arrest a search was conducted on 1 September 2021 at the premises belonging to the petitioner and during search no incriminating material was recovered. Learned Counsel for the Petitioner has submitted that the Petitioner has been named as an accused in the Supplementary Prosecution Complaint which has already been filed before the court. It has further been submitted that the ECIR was registered in the year 2018. Learned counsel for the petitioner has submitted that as per the case of the Enforcement Directorate broadly three allegations have been made against the petitioner which are as follows:

(i) The Petitioner was issued fresh equity of 50,000 shares in M/s Graphic Buildcon Pvt. Ltd, for a total consideration of Rs 5,00,000/- (Rupees Five Lakh only), which as per the understanding of the investigating agency, should be worth an



amount of Rs. 18,00,00,000/- (Rupees Eighteen crore only), and basis such understanding the investigating agency has alleged that the Petitioner is in possession of proceeds of crime to the tune of Rs. 17,95,00,000 (Rupees Seventeen Crores Ninety-Five Lakh only).

(ii) The Petitioner had received around Rs. 41,35,71,231/- (Rupees Forty-One Crore Thirty-Five Lakh Seventy One Thousand Two Hundred Thirty One Crore] from entities controlled by Co-Accused Mr. Naresh Jain and these monies were proceeds of crime [@ Page No. 401-409]. Out of which 19 + crores are still outstanding.

(iii) Money Laundering done by the Petitioner through his entity R.C. Warehousing.

9. Mr.Sidharth Aggarwal, learned senior counsel for the petitioner has submitted that admittedly petitioner has not been made an accused in the predicate offence. It has further been submitted that the petitioner is a renowned real estate developer and carries out its business activities in the State of Madhya Pradesh under the name and style "Empire". It has been submitted that Petitioner has successfully completed and delivered various projects in Indore such as Modi Tower Commercial Multistorey building, G.G. Tower, Empire Residency, Empire Estate, Empire Victoria Park, Empire Metro, Empire Victory, Empire Logipark.

10. It has further been submitted that the petitioner had no prior association



with the co-accused in any manner. Learned senior counsel submits that there is no material on record to show that the petitioner had knowledge of the source of money by which the co-accused had purchased the land or otherwise and in absence of any such material, it cannot be said that the Applicant was aware about the alleged tainted nature of money. Mr. Sidharth Aggarwal, learned senior counsel for the petitioner has submitted that even the Hon'ble Supreme court in ***Vijay Madanlal Choudhary*** (supra) has inter alia held that the court at the stage of considering the application of bail, is expected to consider the question from the angle as to whether the accused was possessed of the requisite *mens rea*. Learned senior counsel submitted at this stage the court is not required to record a positive finding that the accused had committed an offence under the Act. It has been submitted that at this stage the court cannot weigh the evidence meticulously and examine the case on the basis of broad probabilities. Mr. Sidharth Aggarwal, learned senior counsel has submitted that in regard to the first allegation of the Enforcement Directorate regarding holding of share, the fact of the matter is that M/s Graphic Buildcon Pvt. Ltd and M/s Arrow Buildtech (land owning Companies) had purchased various pieces of land situated at village MundlaNayta from 2005 to 2013. The petitioner was approached sometime in 2012 by M/s Graphic Buildcon Pvt. Ltd and M/s Arrow Buildtech Pvt. Ltd., for developing a residential colony over the land already owned by the aforesaid companies at village MundlaNayta.

11. It was submitted that the petitioner agreed to develop a residential cum



commercial colony over the land already acquired by the aforesaid Companies. The Applicant had paid a sum of Rs. 21,00,000 (Twenty-one Lakh Rupees only) to the said companies on 04 February 2012 as a security deposit for carrying out the development work at its cost through his own Company from his own bank accounts. Mr. Sidharth Aggarwal, learned senior counsel has submitted that the payment of Rs. 21,00,000 (Twenty-one Lakh Rupees only) by the petitioner has not been disputed by the department in the Original Prosecution Complaint dated 28 October 2020 filed by the department.

12. It has further been submitted that subsequently an MoU dated 19 March 2015 was executed between the parties thereto which contained the final terms governing the development agreement. As per MoU, the petitioner was to incur the entire expenditure for developing the entire 56.768 acres of land and carving out plots out of them by laying down roads/ sewage lines, water lines, electricity lines etc. and the petitioner was given the right over the sale proceeds of 50% of the total plots. In terms of the said MoU, the Applicant was given 50 % equity as a security at par value i.e., Rs. 5,00,000/- (Rupees Five Lakh). It was emphasized that these shares were given as security as duly recorded in clause 13 of the said MoU.

13. Learned senior counsel has further submitted that immediately upon sale of said 50 % plots and realization of sale proceeds of aforesaid plots, the petitioner was to resign from the directorship of the said companies and was also to return the shareholding of the said



companies and these facts have been recorded in contemporaneous document i.e., MoU dated 19.03.2015 and at that time there was no FIR or ECIR even against the co-accused. Learned senior counsel has submitted that clause 13 of the MoU was also noted and accepted in the Arbitral award dated 17 July 2021 passed by the Ld. Sole Arbitrator in an arbitration proceeding instituted by the petitioner / his entities on account of the obstruction created for sale of plots by the two Companies. Mr.Sidharth Aggarwal, learned senior counsel has submitted that the estimated cost of the project was approximately Rs. 36,00,00,000/-(Thirty Six Crores) and the petitioner and his entities has till date spent about a total of Rs. 42,00,00,000/- Forty Two Crores Rupees (approximately) out of which about Rs. 34 Crores have been paid from sale of land and Rs. 8 Crores have been made by the petitioner / his associates.

14. It has been submitted that the petitioner had developed the said project, moreover, it is the own case of the Respondent in the Provisional Attachment order that 18,233 sq. mts land has already been sold to buyers and the remaining area of the project, i.e., 2,09,917 sq.mts has been attached. Mr.Sidharth Aggarwal, learned senior counsel has submitted that the petitioner has not withdrawn any money from the sale of land and has put in all the money for the development of project. He has further submitted that the allegation that the Petitioner is in receipt of proceeds of crime is untenable in view of the MoU dated 19.03.2015, which categorically records that the shares were given as security. Mr.Sidharth Aggarwal, learned senior counsel



submitted that it was merely a commercial transaction and the department cannot question the commercial wisdom of the parties to the agreement.

15. In respect of the second allegation of taking loans, learned senior counsel submitted that it is own case of the Respondent in the Supplementary Prosecution Complaint that out of Rs. 41,35,71,231 [Rupees Forty OneCrore Thirty Five Lakh Seventy One Thousand Two Hundred and Thirty One Rupees only] an amount of Rs. 19,71,26,530/- [Rupees Nineteen Crores Seventy-One Lakh Twenty-Six Thousand Five Hundred and Thirty Rupees] remains outstanding and thus, evidently, going as per the prosecution's own case an amount of Rs. 21,64,44.701/- [Rupees Twenty-One Crore Sixty-Four Lakhs Forty-Four Thousand Seven Hundred One only] has already been paid been paid besides the interest to the tune of almost Rs.1 crore. Mr.Sidharth Aggarwal, learned senior counsel has submitted that by no stretch of imagination can it be said that the Applicant has committed an offence under Section 3 of PMLA by availing loans. It is further submitted that the petitioner has repaid money and paid interest which is clearly inconsistent with conduct of a person who allegedly in conspiracy with co-accused has committed offence of money laundering.
16. In respect of the third allegation that the money laundering was done by the petitioner through his entity M/s RC Warehousing, learned senior counsel submitted that the applicant joined as Director only in 2015 in M/s R.C.Warehousing. It has been submitted that the agreement to sale of lands were entered into during Financial Year 2012-2013 between Mr. Saket Kumar and Glints Global Infrastructure



Ltd., (later renamed as Jayna Infrastructure), and the other between Mr. Ajay Singh Chouhan and Glints Global Infrastructure Ltd., for a total value of Rs. 3.5 crores and 5.5 crores respectively, which makes it evident that the Applicant had no role in the agreement to sale executed between Mr. Saket Kumar and Jayna Infrastructure.

17. Learned senior counsel has submitted that it has further been alleged that during Financial Year 2012-2013, Mr. Saket Kumar and Mr. Ajay Singh Chauhan had forwarded unsecured loans worth Rs. 1,80,00,000/- and Rs. 3,05,00,000/- to RC Warehousing. Learned senior counsel has submitted that at that time the petitioner was not holding any position in RC Warehousing. Learned senior counsel has submitted that amount of Rs. 1.5 crores to Mr. Saket Kumar and Rs. 2.75 crores Mr. Ajay Singh were duly paid back to them by RC Warehousing, on account of the outstanding loan and the petitioner does not have any information as to the fact that the same amount has been transferred by these individuals to Jayna Infrastructure Ltd. on the same date. It has further been submitted that statements of Mr. Ajay Singh Chauhan and Mr. Saket Kumar relied upon by the department are recorded before the Income Tax authorities and not before the ED and thus cannot be used by the department. Learned senior counsel further submitted that the petitioner has duly paid interest on the unsecured loan of Jayna Infrastructure amounting to Rs. 7,81,00,000/- which has been outstanding since year 2016-17. Mr. Sidharth Aggarwal, learned senior counsel has submitted that the petitioner is also seeking bail on medical grounds. Learned senior counsel has submitted that being sick or infirm, the petitioner is entitled to be admitted to bail in view of



proviso to Section 45 of the PMLA. Learned senior counsel has submitted that the health of the petitioner has been continuously deteriorating whilst in custody from 14.03.2022. It has further been submitted that the petitioner is patient of LBA/HTN/DM2 and suffering from various medical conditions such as Radiculopathy with HTN, post covid shortness of breath, low oxygen saturation, lower back ache and also numbness of lower limbs and has been having difficulty in doing basic daily activities. It has been submitted that the petitioner was referred to DDU Hospital on 14 July, 2022 with complaint of history of falling in bathroom with frothing from mouth and he was managed with injectable and referred to DDU Hospital in emergency. At DDU Hospital, the petitioner was examined by Senior Resident medicine at RML Hospital and was advised to review in Neurology and Medicines OPD. Learned senior counsel has submitted that on 26 July 2022 the petitioner was referred to GB Pant Cardiology and Neurology department. The neurologist at GB Pant Hospital advised the petitioner to avoid weight lifting/ bending forward and further directed the petitioner for neurosurgery evaluation and also suggested for MRI of the petitioner. It has further been submitted that the petitioner requires urgent care on account of his deteriorating health which is evident from the fact that knee joint power and ankle joint power has reduced to 2/5 of Right side on 22 September 2022 which was 5/5 on 14 July 2022. It has been submitted that the petitioner requires neurosurgery evaluation and is likely to be operated upon. It is further submitted that the numbness of limbs is a precursor to possible paralysis and thus requires urgent medical attention in view of his condition. Learned senior



counsel further submitted that the petitioner meets the 'triple test' and deserves to be released on bail. It has been submitted that the petitioner cannot be said to be a flight risk as he duly cooperated with the investigation and thus, there cannot be any basis of any apprehension regarding the petitioner being a flight risk. It was submitted that there was no allegation that the petitioner tried to flee or avoid process at any point of time. It has further been submitted petitioner is a well renowned builder and has deep roots in the society. Furthermore, the evidence has already been collected by the investigating agency and filed before the Special Court and thus, there is no possibility of tampering of evidence. Furthermore, statements of witnesses have been recorded and there is no allegation that during the investigation the Petitioner directly or indirectly attempted to influence any witness. There is no material placed by the investigating agency against the Petitioner to that effect. Learned senior counsel has submitted that the petitioner satisfies the parameters of Section 439 Cr.P.C. and the twin condition of Section 45 PMLA.

18. Learned Counsel for the Petitioner has also filed a brief written note on medical condition on 11.05.2023 wherein it has been stated that the petitioner's condition has not improved and he has been under regular treatment and has already undergone two procedures. It was stated that the petitioner may also need to undergo further procedures and/or surgery as and when advised. It was further stated that the petitioner is unable to discharge his daily activities without assistance of other family members and he is advised to attend regular and highly specific physiotherapy which is not available in jail premises.



19. Mr.Sidharth Aggarwal, learned senior counsel has submitted that while considering the case of the accused under the proviso of Section 45 of PMLA on grounds of sickness or infirmity, it is not necessary to fulfil the twin conditions of section 45 PMLA. In this regard reliance has been placed upon *Lalit Goel vs. Directorate of Enforcement*, Cr.M.7039/2022 dated 08.04.2022, Punjab and Haryana High Court. Learned senior counsel has submitted that SLPD.9985/2022 filed against this order was dismissed by the supreme court vide order dated 11.04.2022.
20. Mr.Zoheb Hossain, learned counsel for ED has submitted that the petitioner was granted interim bail in view of the impending medical condition. However, there is no latest document nor any Medical record that has been filed to show that the petitioner is still sick or infirm. Mr.Hossain has submitted that the in any case even to admit the petitioner to bail on the ground of sickness, he has to meet the twin conditions as provided under Section 45 PMLA. Mr.Hossain has also submitted that the medical condition as stated by learned senior counsel can be treated at the Jail hospital. Learned counsel has further submitted that even during the custody, the petitioner can be referred to the specialized hospitals and even to AIIMS. Mr. Zoheb Hossain has also invited the attention to the statement of the petitioner recorded under Section 50 of PMLA on 07.12.2020 and 18.03.2022, wherein he stated that it had become necessary for the Petitioner to have his control over M/s Graphic Buildcon and Arrow Buildtech and therefore Sh.Bimal Jain had committed to transfer 50% shares to him.



Mr.Hossain has also placed on record a copy of the WhatsApp chat between the petitioner and Vikas Singh.

21. Mr.Zoheb Hossain has submitted that petitioner due to the above stated reasons, is not entitled to be admitted to bail.

FINDING & ANALYSIS

22. The jurisprudence regarding bail is by now very well settled that rule has always been bail and its exception jail. It has also been stated time and again that such a principle has to be followed strictly. Right to bail is also essential for the reason that it provides the accused with an opportunity of securing fair trial. The right to bail is linked to Article 21 of the Constitution of India, which confers right to live with freedom and dignity. However, while protecting the right of an individual of freedom and liberty the court also has to consider the right of the society at large as well as the prosecuting agency. This is the reason that the gravity of the offence is required to be taken into account. The gravity of the offence is gathered from the attendant facts and circumstances of the case. It is a settled proposition that economic offences fall within the category of 'grave offences.' While dealing with the economic offence cases, the court has to be sensitive to the nature of allegation made against the accused. Such economic offences normally involve the public exchequer and money of the honest tax payer. The offence of money laundering in itself is a very serious offence. The money laundering not only is a threat to the financial health of the country but it may also adversely impact its integrity and



sovereignty. Moreover, the act of money laundering can even lead to the collapse of the economic system.

23. First and foremost, in cases like present one, where the petitioner before the court has been found involved in a case of huge money laundering, the challenge before the court is that whether the case of the petitioner is to be seen in isolation or the court is required to take a wholesome view. The court considers that there cannot be any water-tight formula for the same. As in the cases of conspiracy, the case of the prosecution has to be seen as a whole. The role of an accused is to be seen along with the role of other accused persons. However, at the same time, the court cannot allow itself to be overawed by the role of other accused persons if there is no connection between the acts committed by the main accused person and the act of an accused like present petitioner whose complicity has been found later on during the investigation. The offence of money laundering can be seen as a running-goods train where the bogey keeps on adding. The question to be determined is whether the bogey which is attached knew the culpability of the bogey which had already been there. The core question is that whether the person whose role has been found later knew that the money which he has been dealing with is a proceed of crime. The court understands that this is very difficult for the department to find direct evidence regarding this. But at the same time, despite the twin conditions, the court cannot return any finding merely on the basis of inferences and presumptions.
24. The law regarding proceeds of crime has lucidly been explained by the Supreme Court in *Vijay Madanlal Choudhary* (supra), in para 250 to



253 of which, it has been inter alia held as under:

"250. The other relevant definition is "proceeds of crime" in Section 2(1) (W) of the 2002. Act. This definition is common to all actions under the Act, namely, attachment, adjudication and confiscation being civil in nature as well as prosecution or criminal action. The original provision prior to amendment vide Finance Act, 2015 and Finance (No.2) Act, 2019, took within its sweep any property (mentioned in Section 2(1)(v) of the Act) derived or obtained, directly or indirectly, by any person "as a result of" criminal activity "relating to" a scheduled offence (mentioned in Section 201) (y) read with Schedule to the Act) or the value of any such property. Vide Finance Act, 2015, it further included such property (being proceeds of crime) which is taken or held outside the country, then the property equivalent in value held within the country and by further amendment vide Act 13 of 2018, it also added property which is abroad. By further amendment vide Finance (No.2) Act, 2019, Explanation has been added which is obviously a clarificatory amendment. That is evident from the plain language of the inserted Explanation itself. The fact that it also includes any property which may, directly or indirectly, be derived as a result of any criminal activity relatable to scheduled offence does not transcend beyond the original provision. In that, the word "relating to" (associated with/has to do with) used in the main provision is a present participle of word "relate" and the word "relatable" is only an adjective. The thrust of the original provision itself is to indicate that any property is derived or obtained, directly or indirectly, as a result of criminal activity concerning the scheduled offence, the same be regarded as proceeds of crime. In other words, property in whatever form mentioned in Section 2(1)(v), is or can be linked to criminal activity relating to or relatable to scheduled offence, must be regarded as proceeds of crime for the purpose of the 2002 Act. It must follow that the Explanation inserted in 2019 is merely clarificatory and restatement of the position emerging from the principal provision [i.e., Section 2(1) (w)].

251. The "proceeds of crime" being the core of the ingredients constituting the offence of money-laundering, that expression needs



to be construed strictly. In that, all properties recovered or attached by the investigating agency in connection with the criminal activity relating to a scheduled offence under the general law cannot be regarded as proceeds of crime. There may be cases where the property involved in the commission of scheduled offence attached by the investigating agency dealing with that offence, cannot be wholly or partly regarded as proceeds of crime within the meaning of Section 2(1)(w) of the 2002 Act - so long as the whole or some portion of the property has been derived or obtained by any person "as a result of" criminal activity relating to the stated scheduled offence. To be proceeds of crime, therefore, the property must be derived or obtained, directly or indirectly, "as a result of" criminal activity relating to a scheduled offence. To put it differently, the vehicle used in commission of scheduled offence may be attached as property in the concerned case (crime), it may still not be proceeds of crime within the meaning of Section 2(1)(u) of the 2002 Act. Similarly, possession of unaccounted property acquired by legal means may be actionable for tax violation and yet, will not be regarded as proceeds of crime unless the concerned tax legislation prescribes such violation as an offence and such offence is included in the Schedule of the 2002 Act. For being regarded as proceeds of crime, the property associated with the scheduled offence must have been derived or obtained by a person "as a result of" criminal activity relating to the concerned scheduled offence. This distinction must be borne in mind while reckoning any property referred to in the scheduled offence as proceeds of crime for the purpose of the 2002 Act. Dealing with proceeds of crime by way of any process or activity constitutes offence of money-laundering under Section 3 of the Act.

252. Be it noted that the definition clause includes any property derived or obtained "indirectly" as well. This would include property derived or obtained from the sale proceeds or in a given case in lieu of or in exchange of the "property" which had been directly derived or obtained as a result of criminal activity relating to a scheduled offence. In the context of Explanation added in 2019 to the definition of expression "proceeds of crime", it would inevitably include other property which may not have been derived or obtained as a result of any criminal activity relatable to the scheduled offence. As noticed



from the definition, it essentially refers to "any property" including abroad derived or obtained directly or indirectly. The Explanation added in 2019 in no way travels beyond that intent of tracking and reaching upto the property derived or obtained directly or indirectly as a result of criminal activity relating to a scheduled offence. Therefore, the Explanation is in the nature of clarification and not to increase the width of the main definition "proceeds of crime". The definition of "property" also contains Explanation which is for the removal of doubts and to clarify that the term property includes property of any kind used in the commission of an offence under the 2002 Act or any of the scheduled offences. In the earlier part of this judgment, we have already noted that every crime property need not be termed as proceeds of crime but the converse may be true. Additionally, some other property is purchased or derived from the proceeds of crime even such subsequently acquired property must be regarded as tainted property and actionable under the Act. For, it would become property for the purpose of taking action under the 2002 Act which is being used in the commission of offence of money-laundering. Such purposive interpretation would be necessary to uphold the purposes and objects for enactment of 2002 Act.

253. Tersely put, it is only such property which is derived or obtained, directly or indirectly, as a result of criminal activity relating to a scheduled offence can be regarded as proceeds of crime. The authorities under the 2002 Act cannot resort to action against any person for money-laundering on an assumption that the property recovered by them must be proceeds of crime and that a scheduled offence has been committed, unless the same is registered with the jurisdictional police or pending inquiry by way of complaint before the competent forum. For, the expression "derived or obtained" is indicative of criminal activity relating to a scheduled offense already accomplished. Similarly, in the event the person named in the criminal activity relating to a scheduled offence is finally absolved by a Court of competent jurisdiction owing to an order of discharge, acquittal or because of quashing of the criminal case (scheduled offence) against him/her, there can be no action for money-laundering against such a person or person claiming through him in relation to the property linked to the stated scheduled offence. This interpretation alone can be countenanced on the basis of the



provisions of the 2002 Act, in particular Section 2(1)(u) read with Section 3. Taking any other view would be rewriting of these provisions and disregarding the express language of definition clause "proceeds of crime", as it obtains as of now."

25. The bare perusal of these paragraphs would indicate that any property which is derived or obtained directly or indirectly as a result of criminal activity concerning the scheduled offence, is regarded as proceeds of crime. If any property which can be linked to criminal activity relating to or relatable to the scheduled offence, it has to be regarded as proceeds of crime. However, It has also been stated that all properties recovered or attached by the investigating agency in connection with the criminal activity relating to a scheduled offence under the general law cannot be regarded as proceeds of crime. The property which has been derived must be directly or indirectly related to the criminal activity relating to the concerned scheduled offence. It is not necessary that the property must have been directly acquired or derived, if the property has been derived in lieu of or in exchange of the 'property' which had been directly derived or obtained as a result of criminal activity relating to a scheduled offence, such property would also fall within the definition of 'proceeds of crime.' It has also been inter alia held in **Vijay Madanlal Choudhary** (supra) that even at the stage of bail, the court is expected to consider the question from the angle as to whether the accused possessed the requisite mens rea. In the present case, if we sum up the case of the department, it is that the petitioner acquired 50% shares of the company belonging to main accused persons at a price of Rs.5lakh, the actual valuation of which



was Rs.18 crores and therefore, the petitioner was in receipt of proceeds of crime in the sum of Rs.17,95,00,000/- (Rs. Seventeen crores Ninety-Five Lakhs). Secondly, the petitioner had acquired certain loans from the shell companies of the co-accused persons which again allegedly amount to indulging knowingly in any process or activity connected with the proceeds of crime. The third allegation is that the proceeds of crime was laundered through M/s R.C.Warehousing. The case of the defence is that the land was acquired from 2005 to 2013. The petitioner came into the picture only later on for the purpose of development of the land. It has not been disputed that the petitioner is a builder. It is not the case of the department that the petitioner from nowhere came into the deal or that the petitioner was not in the business of developing the colony. . The department has not disputed that the petitioner has been in this business and has developed many projects. The plea of the petitioner is that the shares were taken only to secure his interest. The MoU for the same states:

13. That the developer wants security for his carrying out development and marketing work as such it has been decided that developer will be inducted as a director in the land owner companies and will also and 50% share holder at nominal value and will continue as director/ shareholder till his share of plots are sold and immediately thereafter developer will resign as a director and will also transfer his shares in landowner companies to any person so nominated by landowner companies and all formalities in this regard will be completed by end of ensuing month.

26. It is also the case of the petitioner that he has till date not received any money rather, has given a security of Rs.21 lakhs. The petitioner has also stated that around 42 crores have been spent in the project. The



case of the defence that this 50% shares had to go back to the company from where it had come. In regard to the obtaining of loans the case of the defence is that these were merely loan transactions and there is nothing on record to suggest that the petitioner knew that the money was proceeds of crime or tainted money. Similarly, in regard to the RC Warehousing, the petitioner stated that when the so-called tainted money came, he was not holding any position.

27. It is a settled proposition that at the stage of bail, the court is only required to see a prima facie case and is not required to look into the test of guilt. The court is required to maintain a delicate balance between the judgment of acquittal and conviction and an order granting bail before commencement of trial. It is also a settled proposition that the court cannot meticulously examine the evidence and cannot hold a mini trial at this stage. The court is only required to examine the case on the basis of broad probabilities.
28. The department has opposed the bail on the ground that if the petitioner is released on bail, he may tamper with the prosecution evidence. However, it is matter of record that the entire evidence in the present case is in form of the documentary evidence and thus complaint has already been filed. The petitioner also cannot be stated to be at flight risk. He has roots in the society and even this ground has not been considered by the department.
29. It is pertinent to mention here that in *Vijay Madanlal Choudhary* (Supra) it has been *inter alia* held that the Court is at the stage of considering the application for the grant of bail is expected to consider the question from the angle as to whether the accused possessed the



requisite *mens rea*. It was further held that the Court is not required to record a positive finding that the accused have not committed an offence under the Act.

30. The jurisprudence of the bail positively lays down that a liberty of a person should not ordinarily be interfered with unless there exist cogent grounds. Despite, the twin conditions, it is not necessary that at the stage of bail, the Court has to come to the conclusion that the petitioner is not guilty for such an offence. The Court is at the stage of has to examine the case on the scale of broad probabilities. The Court at this stage is required to record an objective finding on the basis of material available on record and no other purpose.

31. In **Ranjit Singh Brahamjeet Singh Sharma v. State of Maharashtra** (2005) 1 SCR 876, it has *inter alia* held as under:

*“38. We are furthermore of the opinion that the restrictions on the power of the Court to grant bail should not be pushed too far. If the Court, having regard to the materials brought on record, is satisfied that in all probability he may not be ultimately convicted, an order granting bail may be passed. The satisfaction of the Court as regards his likelihood of not committing an offence while on bail must be construed to mean an offence under the Act and not any offence whatsoever be it a minor or major offence. If such an expansive meaning is given, even likelihood of commission of an offence under Section 279 of the Indian Penal Code may debar the Court from releasing the accused on bail. A statute, it is trite, should not be interpreted in such a manner as would lead to absurdity. What would further be necessary on the part of the Court is to see the culpability of the accused and his involvement in the commission of an organised crime either directly or indirectly. The Court at the time of considering the application for grant of bail shall consider the question from the angle as to whether he was possessed of the requisite *mens rea*. Every little omission or commission, negligence or dereliction may not lead to a possibility of his having culpability in the matter which is not the sine*



qua non for attracting the provisions of MCOCA. A person in a given situation may not do that which he ought to have done. The Court may in a situation of this nature keep in mind the broad principles of law that some acts of omission and commission on the part of a public servant may attract disciplinary proceedings but may not attract a penal provision."

32. This Court is conscious of the fact that **Ranjit Singh Brahamjeet Singh Sharma** was a judgment on Section 21 (4) MCOCA but the proposition as laid down the Apex Court is squarely applicable on the facts of the present case.
33. It is an admitted case that the petitioner was not an accused in the predicate offence. The petitioner's name also did not appear in the ECIR and in the first complaint filed by the E.D the name or role of the accused was not mentioned. It may again be reiterated even at the cost of the brevity that even as per the **Vijay Madanlal Choudhary (Supra)** though, the twin conditions provided under Section 45 of 2002 Act, restrict the right of accused to grant of bail but cannot be said that the conditions provided under Section 45 impose absolute restraint on the grant of bail. It is a settled proposition that the discretion vested in the Court has to be exercised in accordance with the law and has to be guided by the principles of law.
34. In **Sanjay Pandey v. Directorate of Enforcement** 2022 SCC OnLine Delhi 4279, a bail was granted on the principles of broad probabilities.
35. In the present case, the petitioner is stated to be renowned developer and his plea that he did not know that he is dealing with the tainted money cannot be brushed aside mechanically. If the liberty of an individual is concerned, the Court cannot proceed merely on the basis



of assumptions and presumptions. The evidentiary value of the statement recorded under Section 50 of PMLA has to be tested at the end of the trial and not at the stage of bail. The twin conditions of Section 45 do not put an absolute restraint on the grant of bail or require a positive finding qua guilt.

36. A bare perusal of the Section 2 (u) of the Prevention of Money Laundering Act, 2005 which provides for the definition of “proceeds of crime” indicates that it is the property derived or obtained, directly or indirectly which relates to criminal activity relating to a scheduled offence. Similarly in order to be punished under Section 3 of PMLA, It is necessary that person dealing with the “Proceed of crime” must have some knowledge that it is tainted money. Though, the direct evidence in this regard may not be possible and the Court is also conscious of the fact that at this stage, the evidence cannot meticulously be examined for this purpose. At the same time, for the purpose that evidence cannot be meticulously examined at this stage, the Court cannot merely proceed on the basis of assumption. There has to be some substantial link between the money received and criminal activity relating to scheduled offence which can be attributed to the petitioner.

37. I consider therefore on the basis of discussions made herein above, there is a broad probability. Besides this, the serious medical conditions of the petitioner as stated herein has not improved and he has been under regular treatment and has already undergone two procedures. The applicant has also been stated to undergo further procedures and/or surgeries as and when advised. It has been stated that the petitioner is suffering from numbness of limbs which is a precursor



to possible paralysis which requires urgent medical attention. Thus, taking into account the facts and circumstances, the petitioner is admitted to bail on furnishing a personal bond in the sum of Rs.25,00,000/- (Rupees Twenty-Five lakhs) with two sureties of the like amount to the satisfaction of the trial court, subject to the following conditions:

- (i) The petitioner shall surrender his passport before the learned Trial Court and shall not leave the country without prior permission of the learned trial court.
- (ii) The petitioner shall ordinarily reside at his place of residence and keep his phone operational at all times. He shall immediately inform in case of change in the address by way of an affidavit, to the investigation officer.
- (iii) The petitioner shall appear before the investigation officer as and when directed by investigation officer.
- (iv) The petitioner shall appear and attend before the Court as and when the matter is taken up for hearing;
- (v) The petitioner shall provide his mobile number to the Investigating Officer (IO) concerned at the time of release, which shall be kept in working condition at all times. The petitioner shall not switch off, or change the same without prior intimation to the IO concerned, during the period of bail;
- (vi) The petitioner shall not directly or indirectly communicate or visit co-accused persons or acquitted persons or the witnesses or offer any inducement, threat or intimidate or influence any of the prosecution witnesses or tamper with the evidence of the case.



(vii) The petitioner shall not indulge in any criminal activity during the bail period;

38. However, this order shall not be relied upon by the co accused persons as having being passed in view of peculiar facts and circumstances of the case.

39. In view of the above, the present bail application along with pending applications stands disposed of.

40. Copy be sent to the concerned Jail Superintendent.

DINESH KUMAR SHARMA, J

MAY 29, 2023

Pallavi



IN THE HIGH COURT OF DELHI AT NEW DELHI

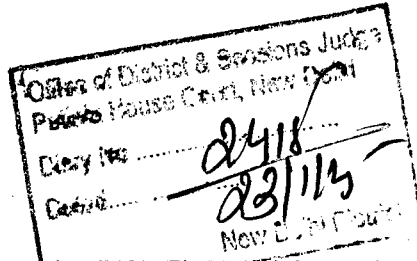
431-443
No. _____/DHC/Gaz.1B/G-2/SC-Judgment/2025

Dated: 22/01/2025

From :

The Registrar General,
High Court of Delhi,
New Delhi.

To



1. The Principal District & Sessions Judge (HQ), Tis-Hazari Courts Complex, Delhi.
2. The Principal District & Sessions Judge (New Delhi), Patiala House Courts Complex, New Delhi.
3. The Principal District & Sessions Judge (South-West), Dwarka Courts Complex, New Delhi.
4. The Principal District & Sessions Judge (West), Tis Hazari Courts Complex, Delhi.
5. The Principal District & Sessions Judge (East), Karkardooma Courts Complex, Delhi.
6. The Principal District & Sessions Judge (South), Saket Courts Complex, New Delhi.
7. The Principal District & Sessions Judge (Shahdara), Karkardooma Courts Complex, Delhi.
8. The Principal District & Sessions Judge (North-West), Rohini Courts Complex, Delhi.
9. The Principal District & Sessions Judge-cum-Special Judge (PC Act) (CBI), RACC, New Delhi.
10. The Principal District & Sessions Judge (South-East), Saket Courts complex, Delhi.
11. The Principal District & Sessions Judge (North), Rohini Courts Complex, Delhi.
12. The Principal District & Sessions Judge (North-East), Karkardooma Courts Complex, Delhi.
13. The Principal Judge (HQ) (Officiating), Family Courts, Dwarka, New Delhi.

Sub : Judgment dated 08.11.2016 passed by Hon'ble Supreme Court of India in Writ Petition (Civil) No. 349 of 2006 titled "Voluntary Health Association of Punjab vs. Union of India & Ors." with Writ Petition (Civil) No. 575 of 2014.

Sir/Madam,

I am directed to forward herewith a copy of Judgment dated 08.11.2016 passed by Hon'ble Supreme Court of India in Writ Petition (Civil) No. 349 of 2006 titled "Voluntary Health Association of Punjab vs. Union of India & Ors." with Writ Petition (Civil) No. 575 of 2014, with the request to circulate the same amongst all the Judicial Officers working under your respective control for information and necessary compliance.

I am further directed to request you to direct courts dealing with the cases under PC & PNDT Act to take steps to dispose of all pending cases within six months.

Ld. OED/Gm.
(PD & ST) / PHE/
24.01.25

Yours faithfully,

(Vinay Sharma)
Deputy Registrar (Gazette-IB)
For Registrar General.

Encl: As above.

REPORTABLE

IN THE SUPREME COURT OF INDIA

CIVIL ORIGINAL JURISDICTION

WRIT PETITION (CIVIL) NO. 349 OF 2006

Voluntary Health Association
of Punjab

... Petitioner(s)

Versus

Union of India and Others

... Respondent(s)

WITH

WRIT PETITION (CIVIL) NO. 575 OF 2014

J U D G M E N T

Dipak Misra, J.

The two writ petitions being inter-connected in certain aspects were heard together and are disposed of by the singular order. We shall first deal with the grievance agitated in Writ Petition (Civil) No. 349 of 2006 and thereafter advert to what has been asserted in the other writ petition. Be it stated immediately that the issues raised in

Writ Petition (Civil) No. 349 of 2006 are not agitated for the first time, for they had been raised on earlier occasions and dealt with serious concern and solemn sincerity. It is because they relate to the very core of existence of a civilized society, pertain to the progress of the human race, and expose the maladroit efforts to throttle the right of a life to feel the mother earth and smell its fragrance. And, if we allow ourselves to say, the issues have been highlighted with sincere rhetorics and balanced hyperboles and ring the alarm of destruction of humanity in the long run. It is not a group prophecy, but a significant collective predication. The involvement of all is obvious, and it has to be. The heart of the issue that is zealously projected by the petitioner is the increase of female foeticide, resultant imbalance of sex ratio and the indifference in the implementation of the stringent law that is in force. In essence, the fulcrum of the anguished grievance lays stress on the non-implementation of the provisions of The Pre-conception and Pre-natal Diagnostic Techniques (Prohibition of Sex Selection) Act, 1994 (for brevity "the Act") and The Pre-conception and Pre-natal Diagnostic Techniques (Prohibition of Sex

Selection) Rules, 1996 (for short "the Rules") framed under the Act by the competent authorities who are obliged to do so.

2. The grievance has a narrative, and it needs to be stated.
3. Realising the rise of pre-natal diagnostic centres in urban areas of the country using pre-natal diagnostic techniques for determination of sex of the foetus and that the said centres had become very popular and had tremendous growth, as the female child is not welcomed with open arms in many Indian families and the consequence that such centres became centres for female foeticide which affected the dignity and status of women, the Parliament brought in the legislation to regulate the use of such techniques and to provide punishment for such inhuman act. The objects and reasons of the Act stated unequivocally that it was meant to prohibit the misuse of pre-natal diagnostic techniques for determination of sex of the foetus, leading to female foeticide; to prohibit advertisement of pre-natal diagnostic techniques for detection or determination of sex; to permit and regulate the

use of pre-natal diagnostic techniques for the purpose of detection of specific genetic abnormalities or disorders; to permit the use of such techniques only under certain conditions by the registered institutions; and to punish for violation of the provisions of the proposed legislation. The Preamble of the Act provides for the prohibition of sex selection before or after conception, and for regulation of pre-natal diagnostic techniques for the purposes of detecting genetic abnormalities or metabolic disorders or chromosomal abnormalities or certain congenital malformations or sex-linked disorders and for the prevention of their misuse for sex determination leading to female foeticide and for matters connected therewith or incidental thereto. Be it noted when the Act came into force, it was named as the Pre-natal Diagnostic Techniques (Regulation and Prevention of Misuse) Act, 1994 and after the amendments in 2001 and 2003, in the present incarnation, it is called The Pre-conception and Pre-natal Diagnostic Techniques (Prohibition of Sex Selection) Act, 1994.

4. As the violence and cruelty meted out to women gradually got revealed due to rights and protections prescribed under various legislations, the Court perceived the magnitude of the crime. Such a situation compelled this Court, in ***Ajit Savant Majagvai v. State of Karnataka***¹, while dealing with the physical violence, torture, mental cruelty and murder of the female particularly the wife, to comment on the degeneration of relationship and the prevalent atmosphere by observing that:-

“3. Social thinkers, philosophers, dramatists, poets and writers have eulogised the female species of the human race and have always used beautiful epithets to describe her temperament and personality and have not deviated from that path even while speaking of her odd behaviour, at times. Even in sarcasm, they have not crossed the literary limit and have adhered to a particular standard of nobility of language. Even when a member of her own species, Madame De Stael, remarked “I am glad that I am not a man; for then I should have to marry a woman”, there was wit in it. When Shakespeare wrote, “Age cannot wither her; nor custom stale, her infinite variety”, there again was wit. Notwithstanding that these writers have cried hoarse for respect for “woman”, notwithstanding that Schiller said “Honour women! They entwine and weave heavenly roses in our earthly life” and notwithstanding that the Mahabharata mentioned her as the source of salvation, crime against “woman” continues to

¹ (1997) 7 SCC 110

rise and has, today undoubtedly, risen to alarming proportions.

4. It is unfortunate that in an age where people are described as civilised, crime against "female" is committed even when the child is in the womb as the "female" fetus is often destroyed to prevent the birth of a female child. If that child comes into existence, she starts her life as a daughter, then becomes a wife and in due course, a mother. She rocks the cradle to rear up her infant, bestows all her love on the child and as the child grows in age, she gives to the child all that she has in her own personality. She shapes the destiny and character of the child. To be cruel to such a creature is unthinkable."

[Emphasis added]

5. We may repeat, the aforestated observation though made totally in a different context but nonetheless, it seemly stated the marrow of the problem. Needless to emphasise, the predicament with regard to female foeticide by misuse of modern science and technology has aggravated and enormously affected the sex ratio. To eradicate the malady, the Parliament, as stated earlier, had enacted the Act. In the first year of this century, a petition under Article 32 was moved for issuing directions to implement the provisions of the said Act by (a) appointing appropriate authorities at State and district levels and the Advisory Committees; (b) issuing direction to the Central Government to ensure that

the Central Supervisory Board meets every 6 months as provided under the PNDT Act; and for banning of all advertisements of prenatal sex selection including all other sex-determination techniques which can be abused to selectively produce only boys either before or during pregnancy. A two-Judge bench in ***Center for Enquiry into Health & Allied Themes (CEHAT) and others v. Union of India and others***² and ***Center for Enquiry into Health & Allied Themes (CEHAT) and others v. Union of India and others***³ on 04.05.2001 issued certain directions. Apart from the directions contained in the said orders, the Court, while finally disposing of the writ petition, issued the following directions:-

“(a) For effective implementation of the Act, information should be published by way of advertisements as well as on electronic media. This process should be continued till there is awareness in the public that there should not be any discrimination between male and female child.

(b) Quarterly reports by the appropriate authority, which are submitted to the Supervisory Board should be consolidated and published annually for information of the public at large.

² (2001) 5 SCC 577

³ (2003) 8 SCC 398

(c) Appropriate authorities shall maintain the records of all the meetings of the Advisory Committees.

(d) The National Inspection and Monitoring Committee constituted by the Central Government for conducting periodic inspection shall continue to function till the Act is effectively implemented. The reports of this Committee be placed before the Central Supervisory Board and State Supervisory Boards for any further action.

(e) As provided under Rule 17(3), the public would have access to the records maintained by different bodies constituted under the Act.

(f) The Central Supervisory Board would ensure that the following States appoint the State Supervisory Boards as per the requirement of Section 16-A: 1. Delhi, 2. Himachal Pradesh, 3. Tamil Nadu, 4. Tripura, and 5. Uttar Pradesh.

(g) As per the requirement of Section 17(3)(a), the Central Supervisory Board would ensure that the following States appoint the multi-member appropriate authorities: 1. Jharkhand, 2. Maharashtra, 3. Tripura, 4. Tamil Nadu, and 5. Uttar Pradesh. It will be open to the parties to approach this Court in case of any difficulty in implementing the aforesaid directions”.

6. Despite the directions issued by the Court, there had not been proper implementation and that compelled the present petitioner, namely, Voluntary Health Association of Punjab to file the present Writ Petition seeking various directions. The Court on 08.01.2013 took note of the fact that the provisions had not been adequately implemented

by the various States and Union Territories and accordingly directed for personal appearance of the Health Secretaries of the States of Punjab, Haryana, NCT of Delhi, Rajasthan, Uttar Pradesh, Bihar and Maharashtra, to examine what steps they had taken for the proper and effective implementation of the provisions of the Act as well as the various directions issued by this Court.

7. At a later stage, a reference was made to 2011 Census of India to highlight there had been a sharp decline in the female sex ratio in many States. It was also observed that there had been no effective supervision or follow-up action so as to achieve the object and purpose of the Act. It was observed that mushrooming of various sonography centres, genetic clinics, genetic counselling centres, genetic laboratories, ultrasonic clinics, imaging centres in almost all parts of the country called for more vigil and attention by the authorities under the Act. The Court also found that their functioning was not being properly monitored or supervised by the authorities under the Act or to find out whether they are misusing the pre-natal diagnostic

techniques for determination of sex of foetus leading to foeticide.

8. A reference was made to various facets of the Act and the Rules and ultimately the Court in ***Voluntary Health Association of Punjab v. Union of India and others***⁴

issued the following directions:-

“9.1. The Central Supervisory Board and the State and Union Territories Supervisory Boards, constituted under Sections 7 and 16-A of PN & PNDT Act, would meet at least once in six months, so as to supervise and oversee how effective is the implementation of the PN & PNDT Act.

9.2. The State Advisory Committees and District Advisory Committees should gather information relating to the breach of the provisions of the PN & PNDT Act and the Rules and take steps to seize records, seal machines and institute legal proceedings, if they notice violation of the provisions of the PN & PNDT Act.

9.3. The committees mentioned above should report the details of the charges framed and the conviction of the persons who have committed the offence, to the State Medical Councils for proper action, including suspension of the registration of the unit and cancellation of licence to practice.

9.4. The authorities should ensure also that all genetic counselling centres, genetic laboratories and genetic clinics, infertility clinics, scan centres, etc. using pre-conception and pre-natal diagnostic techniques and procedures should maintain all records and all forms, required to be maintained under the Act and the Rules and the duplicate copies of the same be sent to the district

⁴ (2013) 4 SCC 1

authorities concerned, in accordance with Rule 9(8) of the Rules.

9.5. States and District Advisory Boards should ensure that all manufacturers and sellers of ultrasonography machines do not sell any machine to any unregistered centre, as provided under Rule 3-A and disclose, on a quarterly basis, to the State/Union Territory concerned and the Central Government, a list of persons to whom the machines have been sold, in accordance with Rule 3-A(2) of the Rules.

9.6. There will be a direction to all genetic counselling centres, genetic laboratories, clinics, etc. to maintain Forms A, E, H and other statutory forms provided under the Rules and if these forms are not properly maintained, appropriate action should be taken by the authorities concerned.

9.7. Steps should also be taken by the State Government and the authorities under the Act for mapping of all registered and unregistered ultrasonography clinics, in three months' time.

9.8. Steps should be taken by the State Governments and the Union Territories to educate the people of the necessity of implementing the provisions of the Act by conducting workshops as well as awareness camps at the State and district levels.

9.9. Special cell be constituted by the State Governments and the Union Territories to monitor the progress of various cases pending in the courts under the Act and take steps for their early disposal.

9.10. The authorities concerned should take steps to seize the machines which have been used illegally and contrary to the provisions of the Act and the Rules thereunder and the seized machines can also be confiscated under the provisions of the Code of Criminal Procedure and be sold, in accordance with law.

9.11. The various courts in this country should take steps to dispose of all pending cases under

the Act, within a period of six months. Communicate this order to the Registrars of various High Courts, who will take appropriate follow-up action with due intimation to the courts concerned."

A further direction was given to file the Status Report within a period of three months. It is apt to note here that in the concurring opinion Dipak Misra, J. only highlighted certain aspects that pertained to direction contained in paragraph 9.8.

9. We may profitably reproduce certain passages from the concurring opinion:-

"14. Female foeticide has its roots in the social thinking which is fundamentally based on certain erroneous notions, egocentric traditions, perverted perception of societal norms and obsession with ideas which are totally individualistic sans the collective good. All involved in female foeticide deliberately forget to realise that when the foetus of a girl child is destroyed, a woman of the future is crucified. To put it differently, the present generation invites the sufferings on its own and also sows the seeds of suffering for the future generation, as in the ultimate eventuate, the sex ratio gets affected and leads to manifold social problems. I may hasten to add that no awareness campaign can ever be complete unless there is real focus on the prowess of women and the need for women empowerment.

x

x

x

x

x

19. A woman has to be regarded as an equal partner in the life of a man. It has to be borne in mind that she has also the equal role in the society i.e. thinking, participating and leadership.

x x x x x

21. When a female foeticide takes place, every woman who mothers the child must remember that she is killing her own child despite being a mother. That is what abortion would mean in social terms. Abortion of a female child in its conceptual eventuality leads to killing of a woman. Law prohibits it; scriptures forbid it; philosophy condemns it; ethics deprecate it, morality decries it and social science abhors it. Henrik Ibsen emphasised on the individualism of woman. John Milton treated her to be the best of all God's work. In this context, it will be appropriate to quote a few lines from *Democracy in America* by Alexis de Tocqueville:

"If I were asked ... to what the singular prosperity and growing strength of that people [Americans] ought mainly to be attributed, I should reply: To the superiority of their women."

x x x x x

32. A cosmetic awareness campaign would never subserve the purpose. The authorities of the Government, the non-governmental organisations and other volunteers are required to remember that there has to be awareness camps which are really effective. The people involved with the same must take it up as a service, a crusade. They must understand and accept that it is an art as well as a science and not simple arithmetic. It cannot take the colour of a routine speech. The awareness camps should not be founded on the theory of Euclidian geometry. It must engulf the

concept of social vigilance with an analytical mind and radiate into the marrows of the society. If awareness campaigns are not appositely conducted, the needed guidance for the people would be without meaning and things shall fall apart and everyone would try to take shelter in cynical escapism.

33. It is difficult to precisely state how an awareness camp is to be conducted. It will depend upon what kind and strata of people are being addressed to. The persons involved in such awareness campaign are required to equip themselves with constitutional concepts, culture, philosophy, religion, scriptural commands and injunctions, the mandate of the law as engrafted under the Act and above all the development of modern science. It needs no special emphasis to state that in awareness camps while the deterrent facets of law are required to be accentuated upon, simultaneously the desirability of law to be followed with spiritual obeisance, regard being had to the purpose of the Act, has to be stressed upon. The seemly synchronisation shall bring the required effect. That apart, documentary films can be shown to highlight the need; and instil the idea in the mind of the public at large, for when the mind becomes strong, mountains do melt.

34. The people involved in the awareness campaigns should have boldness and courage. There should not be any iota of confusion or perplexity in their thought or action. They should treat it as a problem and think that a problem has to be understood in a proper manner to afford a solution. They should bear in mind that they are required to change the mindset of the people, the grammar of the society and unacceptable beliefs inherent in the populace."

10. As directed in the judgment, the matter was listed and certain clarifications were sought for by the Union of India with regard to the directions vide direction Nos. 2, 3, 4 and 6 pointing out that the authorities mentioned in direction No. 2 should also include appropriate authority under Section 17 and Section 17A of the Act. With regard to direction No. 6, it was submitted that instead of Forms A, E and H, Forms A, D, F, G & H be substituted. The said prayers were allowed and the States were directed to file their respective status report.

11. On 16.9.2014 the Court took note of the directions already issued and proceeded to deal with I.A. No. 11 of 2013 and recorded the submission of Mr. Sanjay Parikh, learned counsel that the Union of India has to animate itself in an appropriate manner to see that the sex ratio is maintained and does not reduce further. It was also urged by him that the Central Supervision Committee which is required to meet to take stock of the situation and the National Monitoring Committee who is required to monitor the activities, had failed in their duties.

12. Mr. Parikh had also drawn the attention of the Court to the proviso to Section 4(3) of the Act which reads as follows:-

“4. Regulation of pre-natal diagnostic techniques.-- On and from the commencement of this Act,-- (1) ... (2) ... (3) ...

Provided that the person conducting ultrasonography on a pregnant woman shall keep complete record thereof in the clinic in such manner, as may be prescribed, and any deficiency or inaccuracy found therein shall amount to contravention of the provisions of section 5 and section 6 unless contrary is proved by the person conducting such ultrasonography.”

13. It was propounded by him that the concerned authorities have not acted in accordance with the aforesaid provision in all seriousness as a result of which the nation has faced the disaster of female foeticide. On that day, Mr. Colin Gonsalves, learned senior counsel appearing for the writ petitioner had drawn our attention to the affidavit filed by the petitioner contending, *inter alia*, that the sex ratio in most of the States had decreased and in certain States, there had been a minor increase, but the same is not likely to subserve the aims and objects of the Act. After referring to the history of this litigation which has been

continuing in this Court since long, he had submitted that certain directions are required to be issued.

14. The Union of India was directed to file an affidavit of the Additional Secretary of Health and/or any other concerned Additional Secretary clearly stating what steps had been taken and on the basis of the steps taken, what results have been achieved. It was also directed that all the States shall file their responses through the concerned Health Secretaries. The direction further contained that the affidavits shall be comprehensive and must reflect sincerity and responsibility.

15. On 25.11.2014 the Court noted that affidavits by certain States had been filed and certain States, namely, Assam, Arunachal Pradesh, Bihar, Goa, Gujarat, Kerala, Madhya Pradesh, Meghalaya, Mizoram, Odisha, Tripura, and UT of Daman and Nagar Haveli and Puducherry had not filed the affidavits. Two weeks time was granted to file the necessary affidavits. At that juncture, it was thought appropriate to advert to the States by dividing them into certain clusters. It was decided to deal with the situation pertaining to the States of Uttar Pradesh, Haryana and NCT

of Delhi first. The affidavit filed by the State of Uttar Pradesh was considered and in that context it was observed that the census conducted in 2011 cannot be the guideline for the purposes of PC-PNDT Act. It was felt that a different methodology was required to be adopted by the State. Paragraph 28 of the affidavit, which is of significance, is extracted below:-

“28. That it is pertinent to mention herein that according to “ANNUAL HEALTH SURVEY (AHS)” for the year 2010-11, 2011-12 and 2012-13, improvement has been revealed in the State in respect of Sex Ratio At Birth, Sex Ratio of Child (0 to 04 years age) and Sex Ratio in all age group, which is clear with the table given below:

Year of Annual Health Survey	Sex Ratio (at birth)	Sex Ratio (0 to 4 years of	Sex Ratio (In all ages)
2010-11	904	913	943
2011-12	908	914	944
2012-13	921	919	946

It is necessary to mention here that on a query being made by the Court, learned counsel for the State was not in a position to explain on what basis the said figures had been arrived at, for the same was not reflectible from the assertions made in the affidavit.

16. As far as the State of Haryana is concerned, the chart given in paragraph 15 of the affidavit indicated district-wise and month-wise sex ratio of births during the year 2014. It is as follows:-

"District wise and month wise Sex Ratio at Birth during year 2014 in Haryana State as per CRS (Prov)							
Sr. No	District	Up to Jan.14	Up to Feb.14	Up to Mar 14	Up to April 14	Up to May 14	Up to June 14
1	Ambala	1012	993	959	939	913	910
2	Bhiwani	824	812	843	848	846	832
3	Faridabad	929	892	889	884	890	890
4	Fatehabad	859	898	890	888	886	874
5	Gurgaon	829	856	851	854	855	839
6	Hissar	892	872	883	878	885	880
7	Jhajjar	797	793	793	801	800	811
8	Jind	886	876	878	911	915	899
9	Kaithal	953	921	920	928	927	918
10	Karnal	911	899	888	881	889	894
11	Kurukshetra	956	904	900	892	890	888
12	Mewat	920	942	932	923	920	919
13	Mohindergarh	777	776	797	786	782	770
14	Palwal	867	871	871	871	876	875
15	Panchkula	853	837	860	914	902	914
16	Panpat.	924	931	915	904	903	895
17	Rewari	856	850	849	822	816	806
18	Rohtak	894	884	865	863	859	889
19	Sirsa	897	872	879	885	892	886
20	Sonepat	859	884	850	838	834	835
21	Yamuna naga	903	940	916	897	894	869
	Haryana State	889	884	881	878	878	874"

Nothing had been filed stating as to how the aforesaid figures had been reached except making a statement that the figures were arrived at on the basis of entry in certain registers.

17. On a perusal of the affidavit by the NCT of Delhi, it was noted that in paragraph 5, it had been stated, thus:-

“5. It is submitted that Sex Ratio at Birth in Delhi, which is a reliable indicator of violations under the PC & PNDT Act, has improved by 9 points in 2013 over the previous year. The data available from Civil Registration System indicates that Sex Ratio at Birth was 809 females per 1000 males in the year 2001 and it is currently at 895 in 2013 Annexure R-I.”

18. At that stage, the Court felt the need for verification of the documents that formed the basis on which these figures had been reached. It was also clarified that the figures that had been put forth did not show much indication of improvement but it was necessary to verify whether the figures that had been set forth was correct or not. The purpose was to find out whether there was degradation of sex ratio or stagnation or any steps had really been taken by the concerned States to improve/enhance the sex ratio or not; and accordingly it was directed that a meeting be held

under the auspices of National Inspection and Monitoring Committee wherein the Additional Secretary who had filed the affidavit for the Union of India and two other Joint Secretaries of the Ministry of Health and Family Welfare shall remain present. The deponents who had filed the affidavits before this Court on behalf of the State of Uttar Pradesh and NCT of Delhi were directed to remain present. The Director General, Health Services, State of Haryana and the Principal Secretary along with the Special Secretary, State of Uttar Pradesh were also directed to remain present in the meeting and to produce the relevant registers/records before the said Committee on the date fixed. Mr. Gonsalves, learned senior counsel for the petitioner and Mr. Parikh, learned counsel for the impleaded respondent(s) were allowed to be present. The report was required to be filed before this Court by 10.12.2014. It was further directed that apart from the sex-ratio, the aforesaid three States shall also bring records with regard to the prosecutions levied by the State yearwise and the stage of the prosecution.

19. Pursuant to order dated 25.11.2014, the Committee verified the data submitted by three States, namely, Uttar

Pradesh, Haryana and Delhi. As far as the State of Uttar Pradesh was concerned, on a perusal of the report, it transpired that the figures that were submitted by the State of Uttar Pradesh had been verified by the Committee and found to be correct. On a perusal of the report along with the documents that had been annexed to, it was noticed that certain cases were pending for trial before the trial Court. Regard being had to the fact that they had been instituted long back, a direction was issued to the effect that the proceedings that were pending before for trial and where there was no stay order of the High Court or this Court, the same shall be taken up in quite promptitude and be disposed of within a period of three months commencing 20th January, 2015. Be it stated certain other directions were issued to be complied with by the State of Uttar Pradesh.

20. At a subsequent stage, the data furnished by the States, i.e., Bihar, Himachal Pradesh, Rajasthan and Tamil Nadu were verified. On 15.4.2015 this Court's attention was drawn to the sex ratio in Delhi which had been verified

by the Monitoring Committee as per the population census.

The said sex ratio relates to 2011 which reads as follows:-

“Sex Ratio as per Population Census The universal sex ratio of Delhi as per population census for all age groups taken together was 821 females per 1000 males in 2001 and it has become 866 females per 1000 males as per provisional data of census – 2011. Children sex ratio (0-6) of Delhi went down marginally from 868 (as per census 2001) to 866 (as per census 2011). As can be seen from statement 1.3, at both points of the figures of Delhi were below than All India level. The district-wise scenario for the children of 0-6 years varies in different districts.

Statement 1.3: Sex ratio of Delhi/All India as per population Census Data

Sl. No	Item	Census Year	
A	District wise sex ratio (Children of 0-6 years)	2001	2011
	South	888	878
	South West	846	836
	North West	857	863
	North	886	872
	Central	903	902
	New Delhi	898	884
	East	865	870
	North East	875	875
	West	859	867
	Delhi		
	Children of 0-6 years	868	866
	All ages	821	866
	All India		
	Children of 0 -6 years	927	914
	All ages	933	940

Source: Population census – 2011”

21. Our attention was also drawn to the document which is 'Monthly monitoring of the sex ratio of institutional birth'.

It stated thus:-

“The data is collected on monthly basis from 50 major hospitals which accounts for 50.87% of total registered births in the year 2013 in Delhi. This helps to review the sex ratio at the highest level in the shortest possible time without waiting for the yearly indicators. The sex ratio of institutional births on the basis of these 50 hospitals was also 895 in the year 2013. Efforts will be made to increase the coverage of health institutions under the monthly monitoring system to make this exercise meaningful and truly representative of the ground reality.”

22. Learned counsel appearing for NCT of Delhi, had drawn our attention to the affidavit filed by the Union of India and especially to Annexure 'E'. Annexure 'E' is only report on registration of births and deaths in Delhi in 2013. At page 114, the profile of birth Registration had been mentioned under the caption 'The birth registration in civil registration system'. It is as follows:-

“During 2013, a total of 370000 birth events were registered by all the local bodies taken together. Out of them, 1.95 lakhs (52.76%) were male and 1.75 lakhs (47.24%) were female. Statement 3.1: Total Number of Births registered under CRS sex-wise.

Year	Total Births	Male	Female	Sex Ratio
2001	296287	163816 (55.29)	132471 (44.71)	809
2002	300659	164184 (54.61)	136475 (45.39)	831
2003	301165	165173 (54.84)	135992 (45.16)	823
2004	305974	167849 (54.86)	138125 (45.11)	823
2005	324336	178031 (54.89)	146305 (45.11)	822
2006	322750	176242 (54.69)	146508 (45.39)	831
2007	322044	174289 (54.12)	147755 (45.88)	848
2008	333908	166583 (49.89)	167325 (50.11)	1004
2009	354482	185131 (52.22)	169351 (47.78)	915
2010	359463	189122 (52.61)	170341 (47.39)	901
2011	353759	186870 (52.82)	166889 (47.18)	893
2012	360473	191129 (53.02)	169344 (46.98)	886
2013	370000	195226 (52.76)	174774 (47.24)	895"

23. The data furnished by the NCT of Delhi was contested on the ground that it was collected from 50 major hospitals. The Court noticed that there had really been no improvement with regard to the sex ratio. The Court took note of the submissions of Mr. Gonsalves, learned senior counsel for the petitioner and Mr. Parikh, learned counsel for the impleaded respondent(s) and observed that under Section 16(2)(f)(ii) and (iii) there should be eminent women

activists from non-governmental organisations and eminent gynaecologists and obstetricians or experts of *stri-roga* or *prasuti tantra* to be the members and thought it apt to state that there can be eminent women activists from non-governmental organizations, eminent gynaecologists and obstetricians or experts of *stri-roga* or *prasuti tantra* and eminent radiologists or sonologists but care has to be taken that they do not have conflict of interest.

24. On 15.09.2015, the Court noted the submission of Ms. Anitha Shenoy, learned counsel appearing for Dr. Sabu Mathew George, the newly impleaded party, that the appropriate authorities are not following the mandate enshrined under Rule 18A of the Rules. Keeping in view the language employed in the said Rule, the Court directed that all the appropriate authorities including the State, districts and sub-districts notified under the Act shall submit quarterly progress report to the Government of India through the State Government and maintain Form H for keeping the information of all registrations readily available. The Court further directed that the States shall file the compliance report pertaining to sub-rule (6) of Rule 18A of

the Rules and also directed counsel for the Union of India to apprise the Court about the information received from the various appropriate authorities.

25. On 17.11.2015 when the matter was taken up, the Court adverted to the fact that the State of Odisha, as directed, had provided the Committee relevant documents, especially the documents which are required for eradicating the deficiencies pointed out by the Committee. Be it noted, the Committee had earlier pointed out certain deficiencies. The State had filed the documents in pursuance of the order of the Court and the Committee had filed report pertaining to the State of Odisha. Paragraph 4 of the report reads as follows:-

“4. The State of Odisha had cited the data on Sex Ratio at Birth from the Civil Registration of births of State. State Provided the relevant data and C.D. M.O, Odisha. There are 314 rural registration units & 100 urban registration units I 30 districts in Odisha State. All the data is based on the records of civil registration system. The Sex Ratio at Birth (SRB) data for the year 2013 submitted in the affidavit is 886 whereas as per the records submitted by the State data for the same period is 890. The representatives of the State clarified that in the affidavit, the figures were provisional.”

26. Mr. Gonsalves, learned senior counsel had also filed a chart containing 'District-wise Sex Ratio at Birth of Odisha State' commencing from the year 2010 to 2014. The said chart is reproduced below:-

“District wise sex ratio at birth of Odisha State

Sl.No	Name of the District	2010	2011	2012	2013	2014
1	2	3	4	5	6	7
1	Angul	894	900	879	890	904
2	Balasore	923	891	912	870	870
3	Argarh	923	889	913	891	913
4	Bhadrak	923	891	876	883	875
5	Bolangir	945	930	933	950	939
6	Boudh	983	957	936	934	918
7	Cuttack	860	874	860	854	843
8	Deogarh	896	954	958	954	938
9	Dhenkanal	856	833	850	845	849
10	Gajapati	875	930	927	890	892
11	Ganjam	902	880	867	813	794
12	Jagatsinghpur	912	905	842	777	852
13	Jajpur	863	876	828	824	823
14	Jharsuguda	859	902	882	908	878
15	Kalahandi	888	935	968	989	942
16	Kandhamal	912	943	950	962	940
17	Kendrapara	881	836	828	734	705
18	Keonjhar	934	923	950	965	930
19	Khurda	892	876	884	885	842
20	Koraput	935	943	960	945	942
21	Malkangiri	948	947	993	942	935
22	Mayurbhanj	955	934	936	931	933
23	Nawarangpur	962	932	936	979	965
24	Nayagarh	874	859	774	844	811
25	Nuapada	945	956	955	909	1055
26	Puri	933	888	874	873	854
27	Rayagada	955	954	939	931	945
28	Sambalpur	906	918	908	891	903
29	Subarnapur	940	934	946	939	965
30	Sundargarh	911	892	865	897	906
	Odisha	911	902	896	886	889”

Learned counsel submitted that when the sex ratio reduces below 900, there is a signal of a social disaster. He had pointed out that there were many districts where it had fallen below 900 and drawn the attention of the Court to two districts, namely, Kendrapara and Ganjam to highlight that the sex ratio had gone down to 705 and 794 in 2014. Be it stated, the two districts were only referred to highlight how the sex ratio had fallen in the year 2014 than what it was in 2010.

27. We have adumbrated the history of the litigation, the directions issued by this Court from time to time and adverted to how this Court has appreciated the impact of sex ratio on a civilized society having regard to the legislative intendment under the Act, the suggestions given by the learned counsel for the petitioner, the verification done by the Monitoring Committee, and the crisis the country is likely to face if the obtaining situation is allowed to prevail. As is manifest, this Court had issued directions from 2001 onwards in different writ petitions and in the instant writ petition, as noticed earlier, number of directions

were issued and, thereafter, certain clarifications were made. The narration shows the concern.

28. It needs no special emphasis that a female child is entitled to enjoy equal right that a male child is allowed to have. The constitutional identity of a female child cannot be mortgaged to any kind of social or other concept that has developed or is thought of. It does not allow any room for any kind of compromise. It only permits affirmative steps that are constitutionally postulated. Be it clearly stated that when rights are conferred by the Constitution, it has to be understood that such rights are recognised regard being had to their naturalness and universalism. No one, let it be repeated, no one, endows any right to a female child or, for that matter, to a woman. The question of any kind of condescension or patronization does not arise.

29. When a female foetus is destroyed through artificial means which is legally impermissible, the dignity of life of a woman to be born is extinguished. It corrodes the human values. The Legislature has brought a complete code and it subserves the constitutional purpose. We may briefly refer to the scheme of the Act and the Rules framed thereunder.

Section 2 of the Act is the dictionary clause and it defines "foetus", "Genetic Counselling Centre", "Genetic Clinic", "Genetic Laboratory", "pre-natal diagnostic procedures", "pre-natal diagnostic techniques", "pre-natal diagnostic test", "sex selection", "sonologist or imaging specialist". Section 3 provides for Regulation of Genetic Counselling Centers, Genetic Laboratories and Genetic Clinics. Section 3A imposes prohibition of sex-selection. Section 3B prohibits the sale of ultrasound machine, etc., to persons, laboratories, clinics, etc., not registered under the Act. Section 4 regulates pre-natal diagnostic techniques. Section 5 stipulates written consent of pregnant woman and prohibition of communicating the sex of foetus. Section 6 prohibits determination of sex. Chapter IV of the Act deals with the Central Supervisory Board. Sections 7 – 16A deal with the constitution of the Board, meetings of the Board, functions of the Board, which includes reviewing and monitoring implementation of the Act and Rules made thereunder. Section 16A commands the States and Union Territories to have a Board to be known as the State Supervisory Board or the Union Territory Supervisory

Board, as the case may be, to carry out the functions enumerated therein. Chapter V provides for the Appropriate Authority and Advisory Committee. Sub-section (4) of Section 17 deals with the powers of the Appropriate Authority. The said provision being significant is extracted hereunder:-

- “(4) the Appropriate Authority shall have the following functions, namely –
- (a) to grant, suspend or cancel registration of a Genetic Counselling Centre, Genetic Laboratory or Genetic Clinic;
 - (b) to enforce standards prescribed for the Genetic Counselling Centre, Genetic Laboratory and Genetic Clinic;
 - (c) to investigate complaints of breach of the provisions of this Act or the rules made thereunder and take immediate action;
 - (d) to seek and consider the advice of the Advisory Committee, constituted under sub-section (5), on application for registration and on complaints for suspension or cancellation of registration;
 - (e) to take appropriate legal action against the use of any sex selection technique by any person at any place, *suo motu* or brought to its notice and also to initiate independent investigations in such matter;
 - (f) to create public awareness against the practice of sex selection or pre-natal determination of sex;
 - (g) to supervise the implementation of the provisions of the Act and rules;
 - (h) to recommend to the Board and State Boards modifications required in the rules in accordance with changes in technology or social conditions;
 - (i) to take action on the recommendations of the Advisory Committee made after investigation of

complaint for suspension or cancellation of registration.”

30. Section 17A enumerates the powers of the Appropriate Authorities. The said provision reads as follows:-

“17A. Powers of Appropriate Authorities.- The Appropriate Authority shall have the powers in respect of the following matters, namely:-

- (a) summoning of any person who is in possession of any information relating to violation of the provisions of this Act or the rules made thereunder;
- (b) production of any document or material object relating to clause (a);
- (c) issuing search warrant for any place suspected to be indulging in sex selection techniques or pre-natal sex determination; and
- (d) any other matter which may be prescribed.”

31. Section 18 deals with the registration of Genetic Counselling Centres, Genetic Laboratories or Genetic Clinics. Sections 19 and 20 provide for certificate of registration and cancellation or suspension of registration. Chapter VII deals with offences and penalties. Section 22 stipulates prohibition of advertisement relating to pre-conception and pre-natal determination of sex and punishment for contravention and Section 23 deals with offences and penalties. Section 24 which has been brought into the Act by way of an amendment with effect from

14.02.2003 states with regard to presumption in the case of conduct of pre-natal diagnostic techniques. Section 26 provides for offences by companies. Section 28 provides that no court shall take cognizance of an offence under the Act except on a complaint made by the Appropriate Authority concerned, or any officer authorized in this behalf by the Central Government or State Government, as the case may be, or the Appropriate Authority; or a person who has given notice of not less than fifteen days in the manner prescribed. Section 29 occurring in Chapter VIII which deals with miscellaneous matters provides for maintenance of records. Section 30 empowers the appropriate authority in respect of search and seizure of records. The rule framed under Section 32 of the Act is not comprehensive. Various Forms have been provided to meet the requirement by the Rules. On a perusal of the Rules and the Forms, it is clear as crystal that attention has been given to every detail.

32. Having stated about the scheme of the Act and the purpose of the various provisions and also the Rules framed under the Act, the dropping of sex ratio still remains a social affliction and a disease.

33. Keeping in view the deliberations made from time to time and regard being had to the purpose of the Act and the far reaching impact of the problem, we think it appropriate to issue the following directions in addition to the directions issued in the earlier order:-

(a) All the States and the Union Territories in India shall maintain a centralized database of civil registration records from all registration units so that information can be made available from the website regarding the number of boys and girls being born.

(b) The information that shall be displayed on the website shall contain the birth information for each District, Municipality, Corporation or Gram Panchayat so that a visual comparison of boys and girls born can be immediately seen.

(c) The statutory authorities if not constituted as envisaged under the Act shall be constituted forthwith and the competent authorities shall take steps for the reconstitution of the statutory bodies so that they can become immediately functional after expiry of the term. That apart, they shall meet regularly so that the provisions of the Act can be

implemented in reality and the effectiveness of the legislation is felt and realized in the society.

(d) The provisions contained in Sections 22 and 23 shall be strictly adhered to. Section 23(2) shall be duly complied with and it shall be reported by the authorities so that the State Medical Council takes necessary action after the intimation is given under the said provision. The Appropriate Authorities who have been appointed under Sections 17(1) and 17(2) shall be imparted periodical training to carry out the functions as required under various provisions of the Act.

(e) If there has been violation of any of the provisions of the Act or the Rules, proper action has to be taken by the authorities under the Act so that the legally inapposite acts are immediately curbed.

(f) The Courts which deal with the complaints under the Act shall be fast tracked and the concerned High Courts shall issue appropriate directions in that regard.

(g) The judicial officers who are to deal with these cases under the Act shall be periodically imparted training in the Judicial Academies or Training Institutes, as the case may

be, so that they can be sensitive and develop the requisite sensitivity as projected in the objects and reasons of the Act and its various provisions and in view of the need of the society.

(h) The Director of Prosecution or, if the said post is not there, the Legal Remembrancer or the Law Secretary shall take stock of things with regard to the lodging of prosecution so that the purpose of the Act is subserved.

(i) The Courts that deal with the complaints under the Act shall deal with the matters in promptitude and submit the quarterly report to the High Courts through the concerned Sessions and District Judge.

(j) The learned Chief Justices of each of the High Courts in the country are requested to constitute a Committee of three Judges that can periodically oversee the progress of the cases.

(k) The awareness campaigns with regard to the provisions of the Act as well as the social awareness shall be undertaken as per the direction No 9.8 in the order dated March 4, 2013 passed in ***Voluntary Health Association of Punjab*** (supra).

(l) The State Legal Services Authorities of the States shall give emphasis on this campaign during the spread of legal aid and involve the para-legal volunteers.

(m) The Union of India and the States shall see to it that appropriate directions are issued to the authorities of All India Radio and Doordarshan functioning in various States to give wide publicity pertaining to the saving of the girl child and the grave dangers the society shall face because of female foeticide.

(n) All the appropriate authorities including the States and districts notified under the Act shall submit quarterly progress report to the Government of India through the State Government and maintain Form H for keeping the information of all registrations readily available as per sub-rule 6 of Rule 18A of the Rules.

(o) The States and Union Territories shall implement the Pre-conception and Pre-natal Diagnostic Techniques (Prohibition of Sex Selection) (Six Months Training) Rules, 2014 forthwith considering that the training provided therein is imperative for realising the objects and purpose of this Act.

(p) As the Union of India and some States framed incentive schemes for the girl child, the States that have not framed such schemes, may introduce such schemes.

34. Before parting with the case, let it be stated with certitude and without allowing any room for any kind of equivocation or ambiguity, the perception of any individual or group or organization or system treating a woman with inequity, indignity, inequality or any kind of discrimination is constitutionally impermissible. The historical perception has to be given a prompt burial. Female foeticide is conceived by the society that definitely includes the parents because of unethical perception of life and nonchalant attitude towards law. The society that treats man and woman with equal dignity shows the reflections of a progressive and civilized society. To think that a woman should think what a man or a society wants her to think is tantamounts to slaughtering her choice, and definitely a humiliating act. When freedom of free choice is allowed within constitutional and statutory parameters, others cannot determine the norms as that would amount to acting in derogation of law. Decrease in the sex ratio is a sign of

colossal calamity and it cannot be allowed to happen. Concrete steps have to be taken to increase the same so that invited social disasters do not befall on the society. The present generation is expected to be responsible to the posterity and not to take such steps to sterilize the birth rate in violation of law. The societal perception has to be metamorphosed having respect to legal postulates.

35. Now, we shall advert to the prayers in Writ Petition (Civil) No. 575 of 2014. The writ petition has been filed by Indian Medical Association (IMA). It is contended that Sections 3-A, 4, 5, 6, 7, 16, 17, 20, 23, 25, 27 and 30 of the Act and Rules 9(4), 10 & Form "F" (including foot-note), which being the subject matter of concern in the instant writ petition, are being misused and wrongly interpreted by the concerned authorities thereby causing undue harassment to the medical professionals all over the country under the guise of the 'so-called implementation'. It is also urged that, implementation of steps and scrutiny of records was started at large scale all over the country and lot of anomalies were found in records maintained by doctors throughout the country. It is however pertinent to mention

here that the majority of the defaults were of technical nature as they were merely minor and clerical errors committed occasionally and inadvertently in the filing of Form "F". It is also put forth that the Act does not classify the offences and owing to the liberal and vague terminology used in the Act, it is thrown open for misuse by the concerned implementing authorities and has resulted into taking of cognizance of non-bailable (punishable by three years) offences against doctors even in the cases of clerical errors, for instance non-mentioning of N.A. (Not Applicable) or leaving of any column in the concerned Form "F" as blank. It is further submitted that the said unfettered powers in the hands of implementing authority have resulted into turning of this welfare legislation into a draconian novel way of encouraging demands for bribery as well as there is no prior independent investigation as mandated under Section 17 of the Act by these Authorities. It is also set forth that the Act states merely that any contravention with any of the provisions of the Act would be an offence punishable under Section 23(1) of the said Act and further all offences under the Act have been made

non-bailable and non-compoundable and the misuse of the same can only be taken care of by ensuring that the Appropriate Authority applies its mind to the facts of each case/complaint and only on satisfaction of a prima facie case, a complaint be filed rather than launching prosecution mechanically in each case. With these averments, it has been prayed for framing appropriate guidelines and safeguard parameters, providing for classification of offences as well, so as to prohibit the misuse of the PCPNDT Act during implementation and to read down this Sections 6, 23, 27 of PCPNDT Act. That apart, it has been prayed to add certain provisos/exceptions to Sections 7, 17, 23 and Rule 9 of the Rules.

36. In our considered opinion, whenever there is an abuse of the process of the law, the individual can always avail the legal remedy. As we find, neither the validity of the Act nor the Rules has been specifically assailed in the writ petition. What has been prayed is to read out certain provisions and to add certain exceptions. We are of the convinced view that the averments of the present nature with such prayers

cannot be entertained and, accordingly, we decline to interfere.

37. In the result, Writ Petition (Civil) No. 349 of 2006 stands disposed of in terms of the directions issued by us and Writ Petition (Civil) No. 575 of 2014 stands dismissed. In the facts and circumstances of the case, there shall be no order as to costs.

.....J.
[Dipak Misra]

..... J.
[Shiva Kirti Singh]

New Delhi;
November 8, 2016